

FIXED INCOME

Same as direct equity, fixed income assets can replace the debt mutual fund component in the portfolio. We can replace up to 100% of the debt mutual funds that are not required for the next 2 years. However, this also requires skill and time and only those who have been practicing this for 10+ years now should be doing it.

There are a few obstacles when we invest directly in fixed-income assets. First, these are generally sold over the counter. This means there is no market place for the same and we have to manually find the buyers and the sellers. So, a simple purchase decision becomes very difficult to execute.

Second, fixed income assets have to be bought in 'lots'. This means one cannot buy one bond, instead, a specific group of bonds need to be bought. For example, 5000 bonds make a 'lot'. The lot size can change. This implies that large amounts need to be invested in a single bond and hence diversification becomes difficult. Mutual funds can overcome these two problems in a very systematic manner. They have industry networks to find buyers and sellers. They manage large funds which helps them diversify the portfolio despite large lot sizes. As a result, for most of us, investing in fixed income assets is better done through mutual funds.

